

Contents

Preface	xv
Acknowledgments	xvii
CHAPTER 1 Algorithmic Trading	1
Introduction	1
Changing Trading Environment	5
Recent Growth in Algorithmic Trading	11
Investment Cycle	15
Classifications of Algorithms	16
Types of Algorithms	17
Algorithmic Trading Trends	20
Trading Venue Classification	21
Displayed Market	21
Dark Pool	21
Grey Pool	21
Dark Pool Controversies	22
Types of Orders	23
Execution Options	23
The Trading Floor	25
Algorithmic Trading Decisions	29
Macro-Level Strategies	29
Micro-Level Decisions	33
Algorithmic Analysis Tools	37
Pre-Trade Analysis	37
Intraday Analysis	37
Post-Trade Analysis	38
Rule-Based Trading	38
Quantitative Techniques	38
High Frequency Trading	39
Auto Market Making	39
Quantitative Trading/Statistical Arbitrage	41
Rebate/Liquidity Trading	41
Direct Market Access	43